

Ethereum's Supply Dynamics & Monetary Thesis

Post-Merge ETH economics for crypto-native investors evaluating ETH
as a monetary asset

121.6M

current ETH supply

0.1

avg base gas, Gwei

\$2,243

ETH price

+0.83%/yr

current annualized supply growth
under historic-low gas

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Trailing 7-day supply change: issuance overwhelms fee burn in the current low-gas regime

121,603,980

current ETH supply

+19,445.89

net ETH added, 7 days

0.01x

burn offset ratio

+19,638.29



Issued to
validators

+19,445.89



Net supply
change

-192.39

Burned via
EIP-1559

Figures from source brief: +19,638.29 ETH issued, 192.39 ETH burned, +19,445.89 ETH net, +0.83%/year annualized.

Signal

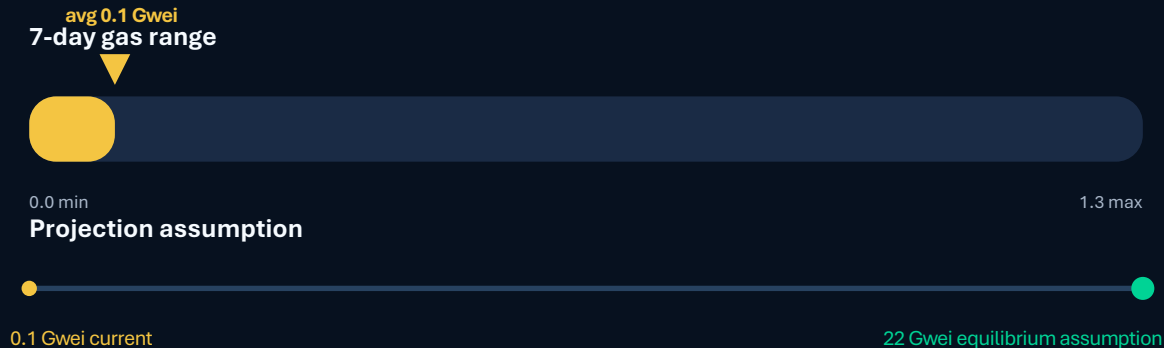
Burns offset only ~1% of issuance over the trailing week — the mechanism is intact, but activity is not supplying enough base fees.

Read-through

ETH is mildly inflationary while base gas remains near 0.1 Gwei.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

Low base fees translate directly into low EIP-1559 burn; projection equilibrium assumes much higher activity



7.1M

avg blob gas, wei

0.15

ETH blob fees burned

\$319

blob fee burn value

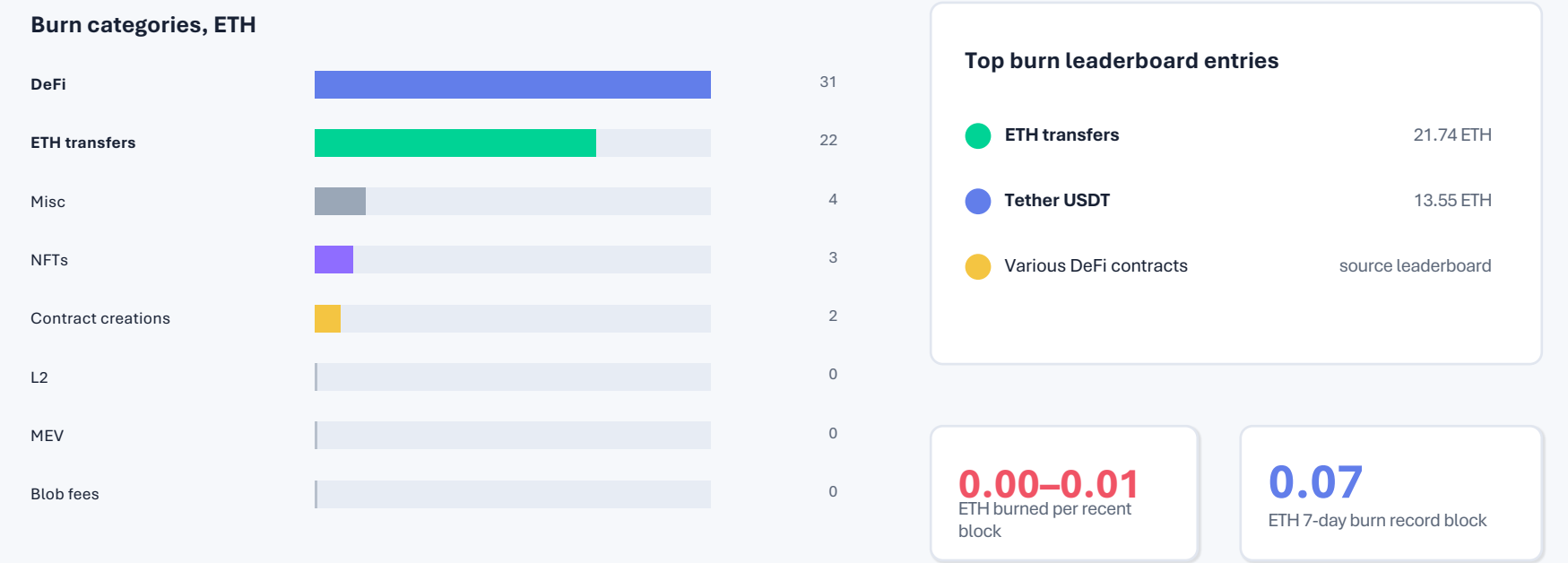
Mechanic

EIP-1559 destroys the base fee paid for blockspace. When demand is scarce and base gas clears near 0.1 Gwei, fee burn falls below issuance and ETH supply expands.

Source brief: 7-day base gas min 0.0, max 1.3, avg 0.1 Gwei; blob gas avg 7,144,934 wei; 0.15 ETH blob fees burned.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Category bars show where the limited 7-day burn is coming from; absolute volumes remain negligible



Source brief category table totals shown exactly as listed; total burn stated separately as ~192 ETH over 7 days.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Validator rewards are issuance-led while staking creates a major supply lock

38.9M

ETH staked

32%

of ETH supply

9.1M

ETH locked in contracts

10.7y

avg time span

Reward composition, APR

2.7% issuance

0.1% tips

0.1% MEV

~2.9% total validator APR

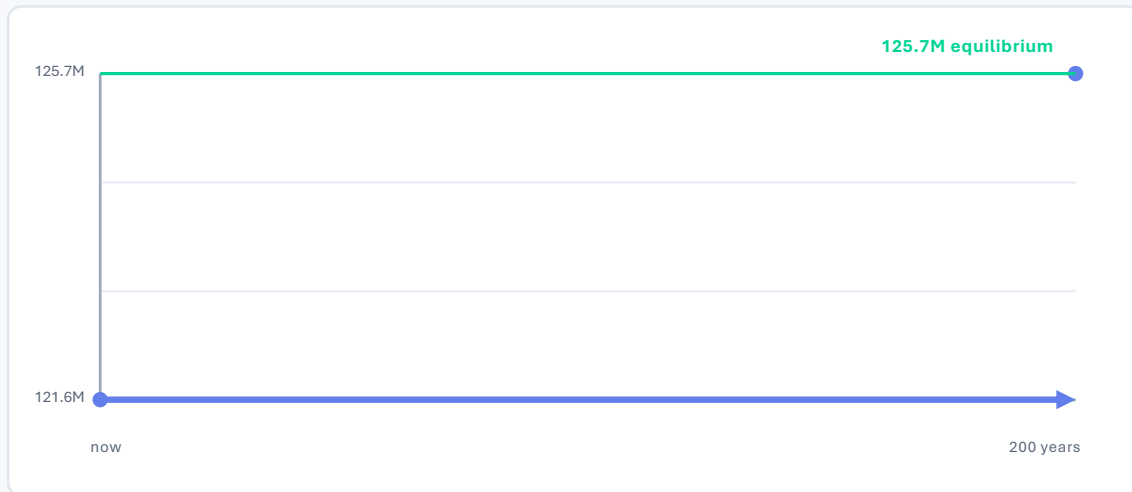
Scarcity engine

Staking removes liquid ETH from circulation, but current validator economics are driven primarily by protocol issuance rather than fee tips or MEV.

Source brief: issuance 0.9 ETH/validator and 2.7% APR; tips 0.0 ETH / 0.1%; MEV estimate 0.0 ETH / 0.1%.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

200-year model: ETH supply converges toward equilibrium if activity supports the burn assumption



39M
ETH staked
assumption

22
Gwei base gas
assumption

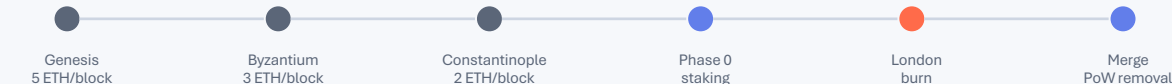
2.8K
ETH/day PoS
issuance

2.2K
ETH/day fee burn

Balance point

Issuance and burn balance at ~1,037K ETH/year in the long-term model.

Historical era transitions



Line is a schematic visualization constrained to source-brief endpoints: current 121,603,980 ETH and 125.7M ETH equilibrium over 200 years.

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Monetary premium is early versus BTC / USD / gold, while Ethereum secures \$307.6B in total value

18.70%

of Bitcoin market cap

1.30

%
of USD

0.89

%
of gold

Total Value Secured, USD



~\$307.6B TVS



ETH native
\$272.76B



ERC20 tokens
\$22.21B



NFTs
\$12.66B

What sits inside TVS

Top ERC20s

Dai \$4.41B
Shiba Inu \$3.51B
Cronos \$2.97B
Tether Gold \$2.65B

Top NFTs

CryptoPunks \$2.13B
Bored Ape YC \$0.68B
ENS \$0.63B
Pudgy Penguins \$0.51B

Source brief: ETH market cap ratios — BTC 18.70%, USD 1.30%, gold 0.89%; TVS categories sum to ~\$307.6B.

KEY TAKEAWAYS

Ultra sound money thesis intact — but gas activity is the critical variable

- 1 Current headwind**
ETH is mildly inflationary at +0.83%/yr due to historic-low 0.1 Gwei gas.
- 2 Burn mechanism**
EIP-1559 works, but it requires sustained on-chain activity to offset issuance.
- 3 Supply lock**
38.9M ETH staked creates meaningful scarcity and validator alignment.
- 4 Equilibrium**
125.7M ETH long-term supply is structurally sound under the 39M staked / 22 Gwei model.
- 5 Monetary premium**
18.7% of BTC market cap and \$307B+ TVS show early but growing ETH premium.

Investor frame: activity recovery converts ETH from low-inflation asset back toward the deflationary monetary premium case.